

But that's why we need to invest as though we expected to be surprised. We surely will be.

Where the surprise will come from, we don't know. But it looks as though people in the emerging world are bound to use more oil and earn more money. And emerging markets will be better places, generally, for capital investments than the developed world.

Another way to look at it: The emerging markets are just less zombified than the developed world. Tax rates are lower. Regulations are less stifling. Special interest groups are as likely to be losing their grip on power as gaining more. Zombie institutions are swept away more quickly, making room for new ones to arise. Businesses start up more rapidly, with less expense; they operate more cheaply and adapt to new opportunities more readily. Most important, emerging markets can still boost output by putting in service the machines and machine-age infrastructure that is taken for granted in the developed world. Emerging economies can still use more oil—a lot of it—and get positive rates of return from their energy investments.

WHAT ABOUT THE INTERNET?

But we know what you are thinking. The developed countries may be in a slump, but it is only temporary. We have the scientists, innovators, and breakthrough inventions. After all, we invented the Internet.

Be that as it may, so far, this twenty-first century has been a flop. A washout. At least for Americans, from an economic point of view. There are no more full-time jobs in the U.S. today than when the century began. In terms of per-capita wealth, Americans are now worse off than they were when the century began. The value of U.S. houses, for example, is about back where it was when the century began. Household earnings, adjusted for inflation, are lower. And America's industries, businesses, and enterprises—as reflected in stock market prices—are worth less, in real terms, than they were in 2000.

And now . . . the background.

You will recall that when the century began, most people thought it was the most promising period in history—especially in the history of the